Fiscal Policy, Monetary Policy, and the Balance of Payments

Indraprastha Institute of Information Technology, Delhi

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A few Policy Related Concepts

- We will just cover 3 things very succinctly. Realistically, one needs at least an IS-LM model (A model of aggregate demand, output and money demand in relation to interest rates)
- Fiscal policy is related primarily to how government does policy. Here we differentiate between the government and central banks (RBI).
- Monetary Policy is to do with money supply and interest rates.
- Balance of payments (focus on movements of funds between nations)

Fiscal Policy)

- The most basic component of fiscal policy is government expenditure.
- This can thought of as funded by taxes, which is the second key instrument.
- One may think that that is a simple impact by the two in $C + I + G$ which is the measure
- However, this effect has some more nuance GDP.

Monetary Policy

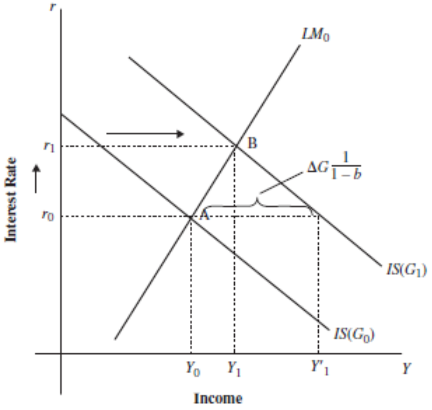
- The central bank controls the amount of actual money in circulation (Money Supply).
- The way they do this is broadly known as monetary policy.
- In the most basic framework, if the central bank increases/decreas interest rates, it affects he borrowing of money from the central bank by commercial banks.
- This affects money supply.
- The RBI can also change money supply by engaging in open market operations.

Interaction of Fiscal and Monetary Policy

- The effect of G and T are not linear on Y.
- This is because of something known as "Marginal Propensity to consume".
- However, this non-linear effect is mitigated by the response from interest rates in the money market.

How the interaction looks

FIGURE 7-2 Effects of an Increase in Government Spending



An increase in government spending shifts the IS schedule to the right from $IS(G_0)$ to $IS(G_1)$. Income rises from Y_0 to Y_1; the interest rate rises from r_0 to r_1.

LM is money market and IS is goods market, *b* is MPC

Balance of Payments: Components

- The balance of payments is a bookkeeping system for recording all receipts and payments that have a direct bearing on the movement of funds between a nation (private sector and government) and foreign countries.
- Current Account: Shows international transactions that involve currently produced goods and services.
- Capital Account: Net receipts from capital transactions

Balance of Payments

- The sum of the current account and the capital account equals the official reserve transactions balance
- Current account + capital account = net change in government international reserves
- When economists refer to a surplus or deficit in the balance of payments, they actually mean a surplus or deficit in the official reserve transactions balance.